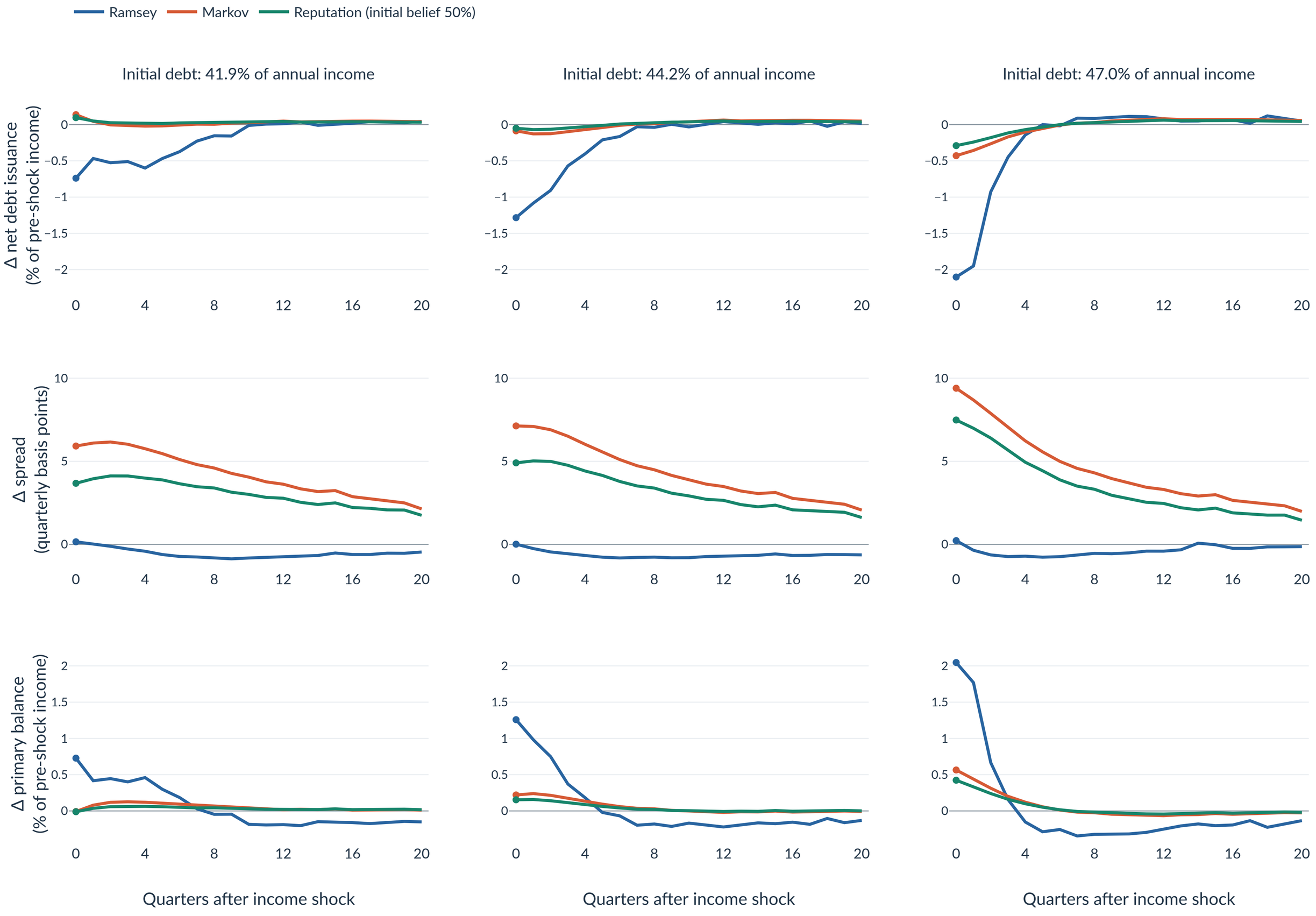
How the same income shock changes borrowing, spreads and fiscal policy



Shock: income falls 3.36% at quarter 0; 2,000 paired paths; unchanged parameters. Lines are mean changes from a matched baseline.
Flows use fixed pre-shock quarterly income. Positive primary balance = tighter fiscal policy. Spreads are quarterly basis points.
Reputation: strategic government, initial belief 50%. Ramsey preserves inherited promises and has no implementation noise.
Ramsey at 41.9% uses 78 qualifying histories; its spread means are sensitive to rare histories. See results note for qualifications.